

Federal Maritime Commission
Docket No. 22-24
Definition of Unreasonable Refusal to Deal or Negotiate With Respect to Vessel Space
Accommodations Provided by an Ocean Common Carrier

COMMENTS OF PACIFIC MERCHANT SHIPPING ASSOCIATION

October 21, 2022

These comments are submitted on behalf of the Pacific Merchant Shipping Association (PMSA). PMSA is a non-profit regional trade association whose members, including ocean carriers and marine terminal operators who conduct business at the public ports of California and Washington. PMSA members are engaged in trade primarily between Asia and the U.S. West Coast as well as Europe, the Mediterranean and South America. PMSA operates from offices in Oakland, Long Beach and Seattle.

Export Strategy

Section 542.1(b)(2)(i) requires ocean carriers to “...follows a documented export strategy that enables the efficient movement of export cargo;” Some of our concerns include the following:

- **Definition.** Left undefined is what constitutes an “export strategy.”
- **Application.** It is uncertain how the existence of such a strategy will marry up with what is acknowledged in the Notice of Proposed Rulemaking (NPRM) of “...cases that allege a violation of Section 41104(a)(10) will be factually driven and determined on a case-by-case basis” and which are the subject of good faith negotiations. Would the existence (or absence) of an “export strategy” be relevant or provide any value in a fact intensive review? How would a broad policy statement override tens of thousands of individual contract negotiations that address price, volume, timing, payment, delivery, prior experiences, dual commitment contracts (e.g., NYSHEX) and other factors, all differing on a “case-by-case” basis for thousands of different contracts -- all of which impact and influence the overall system needs of the ocean carriers?
- **Imports.** The NPRM for the most part ignores imports, giving only limited acknowledgement in the introduction by stating that “The common carrier prohibitions in 46 U.S.C. 41104 do not distinguish between U.S. exports or imports.” OSRA 22 provides no authority for the Commission to require an Export / Import Strategy nor requires such a strategy as a reasonableness factor. That said, it should be noted that ocean carriers view the delivery of cargo as a network. There is no separate import or export system -- rather, there is a network that must be continually balanced to ensure there is sufficient equipment in the correct places to ensure the flow of both imports and exports. During COVID-19, ocean carriers were faced with multiple demands, both from imports and exports, vessel rotations due to COVID lockdowns at foreign ports and

cities, demands for personal protective gear and pharmaceuticals and at times demands by federal officials and local port authorities to utilize sweeper vessels to clear away empty containers from marine terminals. Cargo owners view their goods as imports or exports. Ocean carriers view goods for transport simply as cargo – and conduct vessel and equipment positioning on a global basis, not as one isolated segment. However, the NPRM is only focused on exports, which may inadvertently impact imports.

- Not mentioned are the roles historically played by Shippers' Associations, NVOCCs and Ocean Freight Forwarders who can in effect combine the bargaining power of and provide other export-related support to individual (typically smaller) shippers, and how they should factor into any export strategy or any inquiry related to same.

Given our concerns regarding the lack of clarity and use of an “export strategy,” we would recommend deleting proposed subsection 542(b)(2)(i).

Reasonableness

The NPRM addresses “reasonableness” several times, stating at one point, “‘Reasonableness’ can be given its dictionary definition but it is judged on a case-by-case basis, with particular attention paid to the relevant circumstances...”

The FMC proposes a “rebuttable presumption of unreasonableness” in one circumstance (where a carrier categorically excludes U.S. exports from its backhaul trips from the U.S.) but provides no rebuttable presumption of reasonableness, notwithstanding that there are certainly many instances which would justify such a rule.

Although it does not use the term “presumption,” the NPRM similarly indicates that “granting special treatment to one party over another because that party is a regular customer is likely to be viewed as unreasonable.” Yet this statement directly contradicts the Shipping Act, which authorizes carriers and shippers to enter into Service Contracts, a regime which specifically allows that special treatment will be granted to shippers who are “regular customers.” See 46 U.S.C. § 40502.

Service Contracts are filed confidentially with the FMC. 46 U.S.C. § 40502(b)(1). They permit a carrier to provide “a certain rate or rate schedule and a defined service level, such as assured space, transit time, port rotation or similar service features” to customers “who commit to providing a certain volume or portion of cargo over a fixed time period” (i.e. minimum quantity commitments). *See, e.g.*, 46 U.S.C. § 40102(21). Indeed, “minimum volume or portion” is an “essential term” of any Service Contract. 46 U.S.C. § 40502(c)(4).

Additionally, Shipping Act reforms in 1998 eliminated the right of a similarly situated shipper to demand the same deal as another shipper, yet the NPRM implies that carriers must offer the same deal to each shipper or else be pre-judged to be “unreasonable.” Again, the proposed regulation contradicts the statutory scheme under which it is promulgated.

In light of the foregoing, it is imperative that the FMC withdraw the above language and that it clarify that nothing in the rulemaking is intended to prevent or discourage parties from entering

into Service Contracts or otherwise to engage in conduct which is clearly lawful under the Shipping Act.

The proposed regulations also muddy the water as to the suitable roles of Shipper's Associations, NVOCCs and Ocean Freight Forwarders as intermediaries between smaller shippers and VOCCs, when if anything they should be clarifying that role. Any inquiry regarding reasonableness should include whether the would-be shipper had access to carriage through one or more of these avenues and/or from other VOCCs.

In determining reasonableness, we would recommend that the Federal Commission include the following situations when evaluating reasonableness:

- Federal/state/local/port policies that advocate the prioritization of the export of empty containers either through stowage plans or through the use of sweeper vessels.
- Prior experience with individual cargo owners who have engaged in unlawful or improper behavior, such as the mis-declaration of cargo or shipment of hazardous cargo that has caused or threatened the safety of a vessel and/or that has given rise to adverse governmental action, penalties, fines or other liability.
- History of late or nonpayment of services.
- Whether viable alternatives exist, whether through other VOCCs or via NVOCCs, Ocean Freight Forwarders or through Shippers' Associations.
- Failure to provide contracted amount of cargo / meet minimum quantity commitments or history of falling down / ghost bookings.
- Changes in vessel rotations due to inland congestion or other factors beyond the carrier's control. For example, vessels were anchored off of Southern California ports for several weeks (with 109 vessels offshore at the peak), then faced several weeks at berth, due to lack of terminal space, metering of rail cargo, lack of chassis etc. Those same vessels experienced similar delays at their second port calls in Oakland, which in addition to the problems experienced in Southern California, additionally experienced labor issues and the loss of a container crane at the Port's highest volume terminal. Some vessel operators opted to by-pass Oakland in an effort to stabilize vessel schedules.
- Whether the export customer is prepared to pay prevailing market freight rates for shipments together with all reasonable charges associated with the destination.
- Whether the export destination is one with sufficient infrastructure to handle the return of equipment (containers, chassis) such that a return shipment and/or repositioning can be accomplished at a reasonable time and cost.

Each of the above circumstances should also be considered as establishing a rebuttable presumption of reasonableness.